

business&economy

POWER CRISIS

Fourteen years of power reforms haven't solved India's electricity crisis as the Centre and the states continue to drag their feet on clearances for projects and controlling theft and wastage

■ By Puja Mehra

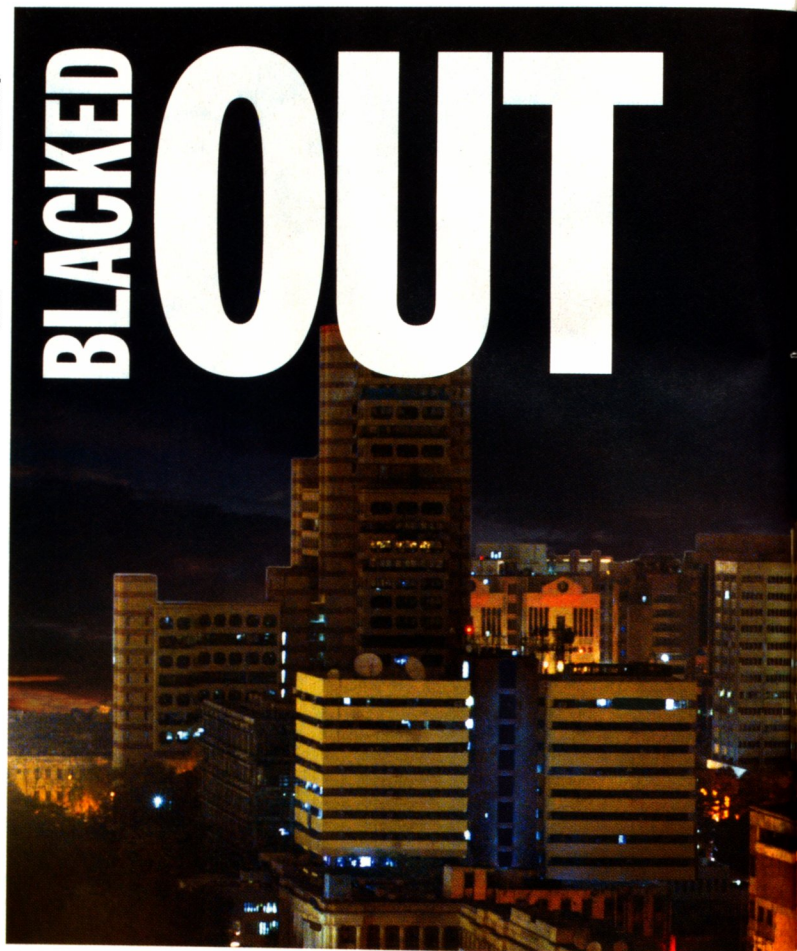
Last week, as the temperature soared to 47.2 degrees to make it the hottest day of this summer, most parts of Delhi sweated the day and night out without power for over 10 hours. Over 1,400 km away, suburban Mumbaikars were playing the waiting game for the monsoon and for power which was switched off for over seven hours. In IT and BPO hotspot Gurgaon, diesel gensets are not the backup but the source of power on most days. Being powerful is no guarantee of getting power—there is no escape for residents of a swish colony, home to top notch politicians and Haryana Chief Minister Bhupinder Singh Hooda's daughter—in Gurgaon either. The saga of eight-nine hours of powerless play has an echo up north in Jammu as well, even though it is hardly a buzzing commercial town.

To the inescapable certainties in a day—sunset and sunrise—India has added power-cuts. The country is in the grip of a crippling electricity crunch that is worsening by the hour and gets heightened every season. The peak-hour demand is 100715 MW of which 86818 MW is met. The massive gap of 14 per cent or 13897 MW could power two states: Delhi and Uttar Pradesh. Worst affected are the industrial and agricultural belts of Punjab, Gujarat and Maharashtra where the shortfall has triggered seven to nine hour-long power-cuts.

Cities are fire-fighting everyday to meet rising energy needs. The desperate situation has fuelled desperate measures. To tide over the pressing peak-hour shortfalls, Pune is buying the surpluses of power plants cap-

70000 MW

is what China adds to its power grid every year. India in the last five years has created 21,180 MW.



tive to industries and merchant outfits for Rs 7-10 per unit (against the average cost of Rs 3). The price is up on the entry of such distressed bulk buyers in the power markets.

What is most worrisome is not that successive governments have failed to kick-start the turbines that fuel invest-

ments in the power sector. But that there's little to hope for either in the future. Successive governments have toiled with reforms that range from enacting stringent legislations, empowering regulators and attacking subsidies to pushing states to privatise the distribution of elec-

tricity. And yet, the line that lights up cities and powers factories continues to trip at every point—funding, government clearances, generation, distribution and even the tariffs.

Despite sermons and reports, India has succeeded in knocking off just one percentage point of the peak shortage since 1991. In what must be the understatement of the year, Montek Singh Ahluwalia, deputy chairman of the Planning Commission, said last month: "We are at a critical point of policy credibility in this sector. We've been talking power reforms for over a decade. And yet, actual performance falls well below expectations."

Supply cannot keep up with the demand because generation projects do not come up on time. In the three five-year plans since 1992—eighth, ninth and tenth—only half of the target-